

Eli Lilly Q4 2025 Earnings Transcript

Blind Sentiment & Directional Score

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** Eli Lilly releases results before the market opens. For pre-market releases the overnight move is defined as $(\text{release-day Open} \div \text{prior-day Close}) - 1$, the direct analogue of the after-hours rule.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google is allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Eli Lilly and Company (LLY)
Report	Q4 2025
Release date	Wednesday 4 February 2026, before market open
Earnings call	10:00am ET
Source transcript	Motley Fool
Press release	Form 8-K, SEC EDGAR, filed 4 February 2026
Read mode	transcript and news only
Time to produce	57 minutes

Source material (read this first)

Headline financials

- Full-year 2025 revenue \$65.2B, up 45%. Non-GAAP EPS \$24.21, up 86%.
- Q4 revenue up 43%, with key products above \$13B in the quarter, up 91%.
- Gross margin 83.2%. Non-GAAP performance margin 47.2%.

Forward guide

- 2026 revenue guided to \$80B to \$83B, about 25% growth at the midpoint.

- 2026 EPS guided to \$33.50 to \$35.00.
- Performance margin guided to 46% to 47.5%.

Hedges and concerns

- Pricing expected to drag growth by a low to mid-teens percentage, with US realized prices down 7% in Q4.
- California and other states removing Medicaid obesity coverage in 2026.
- Execution risk on the orforglipron launch across more than 40 countries.

News and context going into the print

Pre-release context only. Nothing below reveals the market reaction to this report.

- The FDA had approved Foundayo, the orforglipron obesity pill, so the launch story was live and the market wanted the first full 2026 guide.
- The stock had run to around the \$1,000 mark on GLP-1 momentum, priced for a big year.
- Supply expansion was a proof point after management committed to producing 1.8 times the prior year's incretin doses.

FOMC backdrop (point-in-time, Fed event-study linkage)

Added under the Fed extension (Mode B): the most recent FOMC statement released before this print. The statement is scored separately in the Fed event study; its stance doubles as the macro input for the in-prompt conditioning arm.

- **Latest statement:** 28 January 2026 – hold at 3.50–3.75% after three cuts in 2025.
- **Stance read:** Hawkish hold: two of twelve voters dissented, preferring a quarter-point cut.
- **Event-study convention:** statement scored against the short-rate proxy as the primary instrument (SPY, TLT and XLF secondary), close-to-close on statement day; IC against the continuous reaction is primary.

Candidate evidence quotes

1. “We delivered robust financial performance in 2025 ... 45% compared to 2024” – Montarce, prepared remarks.
2. “We exceeded our goal to produce 1.8 times the number of incretin doses” – Ricks, prepared remarks.
3. “Pirtobrutinib reduced the risk of progression or death by 80% versus bendamustine” – Skovronsky, prepared remarks.
4. “We continue to see that affordability and opportunity matter” – Yuffa, Q&A.

Your scoring – fill in below, then seal

1 Sentiment score

Score: +0.80

Rationale. A 45% growth year with EPS up 86%, and the first 2026 guide points to another 25% on top just as the Foundayo pill launches. Pricing and Medicaid coverage losses are real but secondary drags.

2 Directional signal

Signal: BUY

Rationale. A guide this strong with a new product cycle starting argues up even at a full valuation. BUY.

3 Structured summary

- **Incretin franchise.** Still compounding, with key products up 91% in Q4.
- **Pipeline and launches.** Foundayo approved and launching with supply already doubled.
- **Margins and pricing.** Performance margin healthy while prices drift lower.
- **Forward guide.** About 25% growth guided at the midpoint.

4 Evidence quotes

1. “We delivered robust financial performance in 2025 ... 45% compared to 2024” – Montarce, prepared remarks (results).
2. “We exceeded our goal to produce 1.8 times the number of incretin doses” – Ricks, prepared remarks (supply).
3. “We continue to see that affordability and opportunity matter” – Yuffa, Q&A (access).

— SEALED —

Overnight move and call verification

LLY close, 3 February 2026 (day before release)	\$1,003.46
LLY open, 4 February 2026 (release day)	\$1,075.12
Overnight move (prior close → release-day open)	+7.14%

Call verification

- HOLD band test: $|+7.14\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: the move is positive, so the correct directional call is **BUY**.
- Score given vs. correct call: signal was **BUY**, matching the correct call, so the call was **CORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	+7.14%
D+1 close	+10.33%
D+3 close	+5.45%
D+5 close	+2.15%
D+10 close	+1.87%
D+20 close	+0.18%